

ADVANTAGE Daily Drilling Fluids Report - 28



INTEQ

Rpt Date 28/Oct/2006		Well Name/No Bilabri D3		Section Name/No 12 1/4" hole #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 04/Oct/2006		MD 2555.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information							
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
12 1/4				19 1/2	166.20	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0		
						1373.5	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0		
Drill Collars						Drill Pipe	20	18 3/4	199.58					
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	829.50	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194
							12 1/4	2555.00	352					
						Tot Active								
						1725.5	Circulation Times							
						In Storage	Surface to Bit min/stks Total System min/stks							
						547	Bottoms Up min/stks							

Mud Properties				Max Ann Velocity		Hole Information				
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	0 psi	Water Depth	145.00 m
Sample From		Active Pit	Active Pit	Active Pit	AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate	USgal/min
Check Time		06:00	11:00	23:00	AV Open Hole	ft/min	Solids Analysis			
MD m		2555.00	2555.00	2555.00	Vc Open Hole	ft/min	Property	1	2	3
TVD m		2554.00	2554.00	2554.00	Vc Drill Pipe	ft/min	LGS %	5.34	7.98	7.92
Bit Depth m		0.00	0.00	0.00	Min Ann Velocity		LGS lb/bbl	48.68	72.76	72.20
Density ppg	10.00-10.50	10.10	10.15	10.15	AV Riser	ft/min	HGS %	6.69	5.49	5.56
Funnel Visc. sec/quart		10.2	80.0	82.0	AV Casing	ft/min	HGS lb/bbl	98.54	80.87	81.82
Test Temp degF		85.0	95.0	95.0	AV Open Hole	ft/min	Bentonite %	0.00		
Rheol Temp degF		120.0	120.0	120.0	Bit Information		Bentonite lb/bbl	0.00		
PV cP		24	27	29	Size		Drill Sol %	0.00		
YP lbf/100ft^2		22	28	26	Hours On Bit		Drill Sol lb/bbl	0.00		
10sec Gel lbf/100ft^2		11	17	16	Bit Number		Avg Dens Sol sg	3.4899	3.2521	3.2597
10min Gel lbf/100ft^2		15	30	31	BHA Number		Rheology			
HTHP Filtrate cc		4.0	2.8	2.8	Depth In		600 RPM	70	82	84
HTHP Cake in/32		2.0	2.0	2.0	Bit RPM		300 RPM	46	55	55
HTHP Temp degF		250.0	250.0	250.0	WOB		200 RPM	35	42	43
HTHP Pressure psi		500	500	500	Nozzles		100 RPM	26	32	32
Retort Water %		23.0	22.0	22.0	Bit Hydraulics		6 RPM	12	16	16
Retort Base Fluid %		63.0	62.5	62.5	TFA		3 RPM	10	14	15
Retort Solids %		14.0	15.5	15.5	Nozzle Vel	ft/sec				
Corrected Solids %		12.0	13.5	13.5	Bit Press Loss	psi				
Oil:Water Ratio		73:27	74:26	74:26	HHP / Area	HP/in^2	Hydraulic Analysis			
Alk (Whole Mud-POM) cc/cc		1.10	1.90	2.10	HHP	%	Behavior Index (n)			
Cl (Whole Mud-Clom) cc/cc		48000	49000	48000			Consistency Index (k) #sec^n/100ft^2			
Ca (Whole Mud-Caom) cc/cc		0	0	0			ECD @ Bit Depth ppg			
Excess Lime lb/bbl		1.4	2.5	2.7			ECD @ Casing Shoe ppg			

Fluid Comments/ Recommendations				
Mud Check #1 is for Reserve mud.				

Drilling Comments				
Continue W/L operations on R.C.I. run. POO with R.C.I & L/O tool to surface. P/U & M/U Sesmic VSP & RIH same.				

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Waboso Peter / Olayinka 'Kunle	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	527403.80 USD	310687.80 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

ADVANTAGE Daily Drilling Fluids Report - 28



INTEQ

Rpt Date 28/Oct/2006		Well Name/No Bilabri D3		Section Name/No 12 1/4" hole #3		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 04/Oct/2006	MD 2555.00 m		Progress 0.00 m		Present Activity Wireline Logs	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0	3 x 175	0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0	2 x 200, 175	0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	10	Left In Pit	Starting Volume	2288.5	Riser w/o Pipe
Brine	Water	Cased Off		Trip Losses	Daily Additions		Casing w/o Pipe
Base Fluid	Product	Left In Hole		Injected	Daily Losses	16	Open Hole w/o Pipe
Recycled	Other	Discharged		Spill To Environment	Ending Volume	2272.5	String Displacement
		SCE		Onshore Disposal	Net Change	-16.0	String Capacity
		Evaporation		Returned			Total Hole w/ Pipe
		Other Losses	6				Total Active
							Total Reserve
							547.0

IADC Hours							
Wireline Logs				24			
Primary Currency USD		Secondary Currency		Totals USD			
Daily Product Cost	0.00	Daily Product Cost	0.00	Primary Product		494722.55	
Daily Tax	0.00	Daily Tax	0.00	Secondary Product		0.00	
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering		32681.25	
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering		0.00	
Total Daily Cost	900.00	Total Daily Cost	0.00	Primary Total		527403.80	
Total Inventory Value	310687.80	Total Inventory Value	0.00	Secondary Total		0.00	
				Deck Load		318416 lb	

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product											
CALCIUM CHLORIDE (97%)	25 kg	160						160	7.04	5.80	
CARBO-GEL	50 lb	140						140	2.10	2.50	
MIL-LIME	25 kg	40						40	5.65	5.71	
OMNI-COTE	55 USgal	4						4			
OMNI-MUL	55 USgal	24						24	2.00	0.76	
OMNI-PLEX	55 USgal	20						20	1.25	0.02	
OMNI-TEC	55 USgal	8						8	2.11	1.74	
PARA-TEQ	1 bbl	469						469			
Water Based Product											
BLACK MAGIC SF T	25 kg	120						120			
CAUSTIC SODA	25 kg	32						32			
MIL-BAR	1000 kg	51						51	24.61	7.83	
SAW DUST	25 kg	29						29			
Xanthan Gum	25 kg	47						47			
LCM											
CALCIUM CARBONATE - FINE	25 kg	80						80	1.40	0.02	
CALCIUM CARBONATE - MED	25 kg	80						80	1.68	0.02	
KWIKSEAL - MEDIUM	25 kg	35						35			
MIL-PLUG FINE	25 kg	84						84			
MIL-SEAL MEDIUM	25 kg	60						60			
SOLUFLAKE F	50 lb	80						80			
SOLUFLAKE M	50 lb	80						80			

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Waboso Peter / Olayinka 'Kunle	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	527403.80 USD	310687.80 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.